Topic 4B - Consolidated Accounting – Question Solutions

1 B

2 D

3 C

4 The first step is to identify the subsidiary companies. These are essentially the companies over which the holding company can exercise control. The holding company should ensure that the accounting policies used throughout the group are consistent.

Any transactions and balances between group members must be identified so that they can be excluded from the consolidation.

The figures in the Financial Statements are combined to give the group totals for turnover, expenses, assets and so on. However, any intercompany elements are excluded from the consolidation so that sales would include only sales to third parties outside of the group.

The process of cancelling internal balances extends to the holding company's investment in the subsidiaries. These will be cancelled against the related obligations from the subsidiaries to the holding company as represented by the equity as at the date of acquisition. Any balancing figure arising because of differences between the cost of the investment and related equity is called goodwill and is written off against retained profit.

5 <u>Kitchensplus</u>

(i) By purchasing 70% of the voting rights of Forestry Ltd, Kitchensplus Ltd acquired a subsidiary undertaking.
The directors of Kitchensplus Ltd will now be required to prepare group accounts which will include figures for Forestry Ltd.

(ii) The acquisition of shares in Ceramicworks Ltd is more complicated.

The shareholding alone is insufficient to conclude that Ceramicworks Ltd is a subsidiary since Ms G has retained 51% of the shares, and presumably the voting rights.

But the fact that two of the three directors of the company have been appointed by Kitchensplus Ltd indicates that the company is a subsidiary, either because it has a right to appoint or remove a majority of the directors, or at least has the right to exercise dominant influence.
Ceramicworks Ltd should therefore be included in the consolidated financial statements.

(iii) The warehouse project with Footfirst Ltd appears to be a joint venture.

A joint venture only exists where the parties control the venture together, with no one party having a greater say in how the venture is run.

It also requires to be a long-term venture which this one appears to be.

The share of the joint venture should be included in the consolidated financial statements.

(iv) Muffins Ltd is an associate of Kitchensplus Ltd, which owns more than 20% of the share capital of the company.

Its share of the earnings in Muffins should be included as part of the group accounts.